Netflix: Company Analysis

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1 Introduction

“Too big to fail” has always been a sentence thrown around when a company starts dominating a market, and there are many people who believe that there are firms that are too big to fail. At the beginning of the last decade Netflix could be counted as one of these firms. Reed Hastings and Marc Randolph established the multinational entertainment firm in 1997. The company began as a DVD-by-mail service, but when its online streaming service was introduced in 2007, it completely changed the entertainment landscape. The success of its original productions, which have won several awards including Academy Awards and Emmys, has helped Netflix establish itself as a key participant in the film and television business in addition to producing and distributing content. The success of Netflix has also changed the landscape of traditional media, forcing traditional media businesses to adjust to the shifting market. The monthly membership service that is Netflix's business model enables consumers to view all its content on numerous devices. Based on each user's watching tastes and behaviors, the firm personalizes its recommendations using advanced algorithms. Ultimately, Netflix has grown to be a significant force in the entertainment sector, altering the way people engage with and consume media and laying the groundwork for future streaming content. Although all of this makes Netflix sound like it is too big to fail, over the last six years Netflix has been faced with a colossal problem, that competition is getting stronger and therefore Netflix’s market share is in decline. Launching its streaming service in 2007, Netflix quickly became popular and saw an increase in market share. With a market share of more than 60% in 2010, Netflix was the market leader in the US for streaming services at the time. With a market share of roughly 85% by 2013, Netflix reached its all-time high in market share, and at this point people thought Netflix would dominate the market in perpetuity. (Protalinski, 2013) However, from that point Netflix’s market share kept dropping. With the introduction of new competitors like Amazon Prime Video, Hulu, and Disney+ in recent years, the competition in the streaming business has risen. As a result, Netflix's market share has fallen heavily, but it is still a major player in the sector. Netflix held 31% of market share in the US as of 2021 (Statista, 2022).

This paper will analyze the current situation of Netflix considering these challenges. It will specifically look at the elements that have contributed to Netflix's declining market shares and the rise of its rivals. The paper will also look at the approaches Netflix has taken to deal with these difficulties and evaluate their effectiveness. The goal of this article is to give a comprehensive review of Netflix's current situation and to assess the difficulties it encounters in retaining or even winning back its market position.

1.1 Problem Statement

The number of Netflix customers, as already described, has significantly decreased in recent years. Netflix is concerned about this issue since it not only affects its revenue but also its capacity to create original content and keep its market advantage. According to the company's financial reports, Netflix lost approximately 430,000 subscribers in the United States and Canada in the second quarter of 2021, while adding only 1.54 million new subscribers worldwide. This is a significant decrease from previous years, when Netflix saw significant growth in its subscriber base (Netflix, 2022). The decline in subscribers is primarily the result of increased competition from new streaming services that offer a similar range of content at competitive prices. Furthermore, the after-effects of the COVID-19 pandemic have reversed Netflix's growth by making people more cautious with their spending, resulting in a decrease in the number of new subscribers. In Addition to that, the saturation of the streaming market has made it difficult for Netflix to attract new subscribers while also retaining existing ones (Netflix 2022). The fragmentation of the media landscape, which has resulted in an increase in the number of streaming services available to consumers, is one of the reasons for this decline. This has given viewers more options to choose from, resulting in a decrease in loyalty to a single streaming service. Furthermore, the entry of new competitors has increased competition for subscribers, making it difficult for Netflix to maintain its market position. Besides that, the pandemic has reduced the production of original content, affecting Netflix's ability to attract new subscribers and to retain existing ones. Another huge problem for Netflix is the trend towards subscription-based models. Big production companies, like Paramount and Disney, are starting to create their own streaming sites to create consistent cash inflow. Now, because of that, these companies take their content off Netflix. This is damaging to Netflix in that, to watch certain movies and tv-shows now, people will have to either pay Netflix and another streaming service or quit Netflix entirely. In this way, those competing companies can snatch a lot of viewers from Netflix. Netflix is already trying to fight this loss in revenue by attacking a different topic, account sharing. Account sharing is the practice of using one account to give several people who do not have their own accounts access to a service or platform. The practice of sharing login information for a streaming service, such as Netflix, with friends or family members who do not have their own subscriptions is known as account sharing in the context of streaming services (Phelan, 2023). This is because nearly 41% of Netflix users are using Account sharing, meaning that if Netflix can find a way to ban account sharing completely, they would nearly double their revenue (Cook, 2023). (This is under the assumption that all people using Netflix will get their own subscription)

2 Analysis of the Problem

2.1 Economic Factors Affecting Netflix

The last few years have been hard for many businesses, rising inflation and an unstable global economic environment is a predominant cause. Economic factors that have the biggest effect on the demand for Netflix´s services include slowing economic growth, wage rates, exchange rates, inflation, taxation, and interest rates (MBA Skool Team, 2022). The purchasing power of consumers can impact how many consumers will use Netflix´s services and therefore increase or decrease its revenues. Netflix is currently operating in 190 countries, this makes it highly vulnerable to fluctuating exchange rates (Netflix, 2023; Frue & Momin, 2018). Weak currencies are negatively impacting its profits. Also, as inflation increases worldwide, people have less money to spend on leisure activities. Netflix saw its all-time high of their stock price during the pandemic, but its stock price fell from $691 to $190 in just 6 months (Uloop, Inc., 2022), the price proceeded to drop even further. All these factors resulted in a negative growth in subscribers, and lower revenues for Netflix. The company's management has been trying to make up for losses by raising the prices of membership and trying to create a low-cost subscription with ads, which have yet to be released.

One measure taken to gain more revenues and subscribers was the banning of password sharing. An estimated 100 million people worldwide use the service without paying (Liedtke, 2023). Netflix has already attempted to crack down on the practice, trialing the banning of password sharing in Latin America, Canada, New Zealand, Spain and other countries while planning to impose similar regulation on the US market soon (Liedtke, 2023).

Illegal streaming services are likewise a threat to Netflix, as many people prefer to use them rather than pay for a subscription. It is a risk to the company's security while also decreasing its potential revenues (Edrawmax, 2023).

2.2 Competition From Other Streaming Services

At first, Netflix came in with an original idea and revolutionized the over-the-counter entertainment industry, becoming a leader in the process. It created something unique, but it didn't take a long time for competitors to imitate Netflix´s streaming model and start doing the same thing while simultaneously improving aspects of their service. Large companies with massive budgets such as Apple, Disney, and Amazon entered the new market (we are talking about competition from other paid-by-user services, not the traditional TV industry with ads). The whole over-the-counter industry is growing rapidly, evidenced by the fact that there are more than 100 such platforms today (MBA Skool Team, 2022). The price of Netflix´s services is higher than the cost of Apple and Disney (Shaw, 2023).

Netflix's biggest competitor is Amazon Prime Video, which holds 11% of the subscription video-on-demand market as of 2023. Netflix has a share of 71%, and more than 190 million users (WCS, 2023). The second largest competitor of Netflix is Walt Disney Co., which owns Hulu and Disney plus, both of which have extensive original content awarded at the international level. Other competitors include YouTube TV, HBO and many more (WCS, 2023).

As many new entrants entered the market, competitors started taking down their own content from Netflix's service and publishing it only on their own streaming platforms. Netflix has lost a lot of licensing agreements in this way and has lost a lot of content that draws customers in the process. Many subscribers leave Netflix to watch the original shows on different platforms, because they are no longer available at Netflix. Most of Netflix's competitors have a strong advantage over Netflix in that their core business is not in the video-on-demand industry, but in a totally different industry. For example, Amazon's main industry is in online retail, while Apple is centered around consumer products. Netflix's lack of diversification implies it is more susceptible to downturns in the video-on-demand market.

2.3 Changes in Consumer Behavior

Modern dynamic business models have the capacity to change rapidly, much like they did when Netflix transitioned from VHS tapes and DVDs to the internet-streaming model. Going from just streaming content, Netflix's AI recommendation system and the original series production are becoming more important. Netflix´s new recommendation system has received negative reviews and, together with show cancellations and the loss of content removed by other companies, these may be a leading cause in their subscriber loss (Morgan, 2019).

The factors stated before contributed to Netflix losing about 1.2 million subscribers in the first half of 2022 (Liedtke, 2023). Even though Netflix lost about 920,000 subscribers in Northern America in 2022, Netflix´s price increase has covered the losses and Netflix ended up with a 9% growth in revenue (14.1 billion). This seems to comply with Netflix´s strategy of focusing on profit growth, rather than on attracting more customers (Liedtke, 2023).

A very important factor for consumers when they choose how to consume content is scheduling, as they are unlikely to pay for content that they are unlikely to watch. Netflix has spent a lot of money on producing its original shows, which stand out to viewers and are accessible only on Netflix (Amoroso et al., 2021).

To conclude, customer satisfaction with Netflix has gone down for a multitude of reasons. The cancellation of fan-favorite original shows, changing the voting system for liking and disliking shows (which made Netflix´s algorithm recommend irrelevant shows to its users), the higher price of membership, and the growth of competition have resulted in the loss of subscribers and a negative trend in revenues.

3 Strategies to Address the Problem

3.1 Introduction of a Cheaper, Advertising-Supported Option

Netflix has been losing subscribers ever since the pandemic. Some of the reasons for this are the low quality of its catalog, the renovation of some of its reality shows over good quality shows, and the increase in their subscription prices. They are aware that this is a major threat for their long-term financial sustainability, so they have finally come up with a solution. This solution is a low-cost subscription, with the least available functionality and a particular inconvenience included: advertisements. Netflix launched a new subscription option incorporating ads in November of 2022. After the initial outcry from the public, reception has calmed down since. We will talk about the implication this has had and the reaction from the public.

3.2 Crackdown on Password Sharing

Another measure Netflix has taken to solve their loss in subscribers is to take a stricter approach toward shared accounts, something completely unprecedented in the on-demand content sector, resulting in a crackdown on password sharing. Beginning in 2022, Netflix announced that it would not allow password sharing between members of different households. A "trial" crackdown was implemented in Peru, Costa Rica, and Chile to test their theory. If a device has not connected to the home Wi-Fi in a month, that device will be kicked out of the account until it connects to said Wi-Fi again. By February of 2023, the crackdown was expanded elsewhere, including in Canada, Spain, Portugal, and New Zealand. While it is still too early to appropriately gauge, the immediate reaction from the public was one of absolute outrage. Many people canceled their subscriptions because of what not being able to share an account would mean for their budgets. The preliminary outcome of this has very much been the opposite of what was intended. Perhaps in the long term this measure will have the desired effect, but the initial backlash from this move has been overwhelmingly negative.

3.3 Creation of an Advertising Business

Data indicates the necessity for a new revenue source because subscriber estimates, acquisition growth, and competition are not in Netflix's favor. According to Netflix, which recently added 2.4 million users, there is still room for growth. With billions invested in production, Netflix has tried to stay competitive by producing content specifically for different geographic areas in their native tongue. Advertising is the upcoming unknown. Ad-supported video-on-demand (AVOD) is becoming increasingly popular as customers become weary of expensive plans and subscription stacking. According to research, 80% of consumers would choose a free service with ads over a more expensive one. Lower AVOD plans are already available from other streaming video services like HBO and Hulu. An increasing variety of free, ad-supported streaming services are also available, such as Roku Channel, Amazon Freevee, and Tubi. The first batch of advertisers will probably be Fortune 500 firms who can afford a $20 million ad spend test. Netflix has set the scene to be the leader in the CTV field and has set very hefty prices to catch the attention of the most premium brands. (Sadra 2022)

4 Evaluation of Strategies

4.1 Pros and Cons

These two strategies that Netflix has decided to implement have various pros and cons. To begin, let’s start with the crackdown on password sharing. As previously mentioned, this strategy has not only proven futile so far, but it has been damaging to the company. While the premise of the measure makes sense in theory, it does not in practice. Netflix has received plenty of negative press over their actions, and it is yet undetermined whether subscribers that once shared accounts for free have proceeded to become full subscribers themselves.

On the other hand, the implementation of an ad-based model could prove very fruitful. A pro is that, after looking at other competitors in the industry with similar approaches, it is safe to say this strategy works, especially because customers need to have subscriptions to multiple platforms if they wish to have access to a bigger catalogue, which is expensive. Providing their catalogue for a cheaper price (or perhaps even for free) while subsidizing the price reduction with revenue from ad sales is a successful, proven model. Industry players like YouTube have borne this out. Netflix could increase its subscriber base, one that appears ready to be inundated with ads in exchange for cheaper service.

4.2 Potential Impact on the Company

Nobody knows with complete certainty what consequences these strategies will have for Netflix, but one thing is evident, their subscriber number is bound to be affected, for the better or the worse. Some of the shared accounts may now turn into ad-plan accounts, or they may lose some long-time customers forever. Netflix urgently needed to take measures to address the huge loss in subscribers and they did. Netflix was accustomed to having a monopoly in the on-demand sector and did not react rapidly enough when it was displaced as the only player in the sector. Only time will tell what the consequences of these actions will be.

4.3 Comparison with Other Companies

If we look at Netflix's competitors, they have not taken any similar measures, in essence because they have not needed to. Netflix has been the only player known to suffer a massive subscriber loss and this may be in big part due to Disney’s and HBO’s much higher quality catalogue, which generates greater fidelity in their customers than Netflix, who has opted for a

Reality TV and documentary filled catalogue. Likewise, Netflix's business model is one that lacks diversity. Where Amazon, Apple, and other entities can rely on online retail or electronics sales, Netflix relies solely on its streaming platform for its revenue generation. Attempts to diversify by adding games to their catalogue have proven inconsequential thus far (Kraajienbrink 2021).

5 Financial Analysis

In this section, we will examine Netflix's financial statements, key financial ratios, and other relevant financial metrics to gain a better understanding of the company's financial position, strengths, and potential risks. We will focus on the period 2018 to 2022 to provide an adequate picture of the recent development of the company. Ultimately, this analysis will provide valuable insights for investors and stakeholders who are considering investing in Netflix or already have a stake in the company.

5.1 Overview of the Financial Performance of Netflix

Netflix has grown its revenue steadily over the past five years, from $15.8 billion in 2018 to $31.6 billion in 2022 (Netflix, 2022), representing a compound annual growth rate (CAGR) of 19%. Netflix's revenue growth was driven by its increasing subscriber base, which reached 250 million paid memberships worldwide by the end of 2022 (Iqbal, 2023), as well as its ability to raise prices in some markets.

Netflix's operating income also increased from $1.6 billion in 2018 to $6.2 billion in 2021 but declined to $5.6 billion in 2022. This decline was mainly due to higher content and marketing expenses, as well as unfavorable foreign exchange movements (Green 2022). Netflix's net income followed a similar trend, rising from $0.6 billion in 2017 to $4.9 billion in 2021, but dropping to $4.4 billion in 2022 (Netflix 2022).

Netflix's stock price has been volatile over the past five years, reflecting its competitive and dynamic industry environment. Netflix's stock reached an all-time high of $691 per share in November 2021, but plunged to $166 per share by May 2022 (Yahoo Finance 2023). Some of the factors that affected Netflix's stock performance include its earnings results, subscriber loss, rising inflation and competition from other streaming platforms (Cook, 2022).

5.2 Analysis of the Balance Sheet and Income Statement

Netflix's total assets increased from $26.0 billion in 2018 to $48.6 billion in 2022, mainly due to the growth of its content assets, which represent the costs incurred to acquire, license, and produce streaming content. Netflix's total liabilities also increased from $20.7 billion in 2018 to $27.8 billion in 2022, mainly due to the issuance of long-term debt to fund its content spending and working capital needs. Netflix's total equity increased from $15.7 billion in 2017 to $20.8 billion in 2022, reflecting its accumulated net income over the years (Netflix 2022).

Netflix's revenue increased from $15.8 billion in 2018 to $31.6 billion in 2022, driven by its growing subscriber base and average revenue per user (ARPU). Netflix's operating expenses increased from $14.2 billion in 2017 to $26.0 billion in 2022, mainly due to the increase in cost of revenue (which includes content amortization and streaming delivery costs), marketing expenses, and general and administrative expenses. Netflix's net income increased from $1.2 billion in 2018 to $4.5 billion in 2022, despite higher interest expenses and income taxes (Netflix, 2022).

5.3 Comparison with Other Companies

Method: Data was gathered from Yahoo Finance and processed in Microsoft Excel. Full data can be found in Appendix 1.

Netflix, Disney, AT&T, and Alphabet are all major players in the streaming market, each offering its own streaming service: Netflix, Disney+, HBO Max, and YouTube, respectively. To compare these companies, we can analyze various financial metrics such as revenue, EBIT, market capitalization, and more. A major caveat to this analysis is that Netflix is the only large publicly traded company that exclusively operates internet streaming services. The other companies in this comparison have large revenue streams from other business activities.

The operating profit margin (EBIT/Revenue) shows Alphabet as the most profitable company with a 26.5% ratio. AT&T and Netflix follow with 19.0% and 17.8% ratios, respectively, while Disney has the lowest profitability with an 8.2% ratio (CFI Team, 2023b).

In terms of earnings yield (EBIT/EV), which is an indication of the return on investment for a stock, Alphabet offers the highest yield at 5.19%, followed by AT&T at 4.53%, Netflix at 3.33%, and Disney at 2.52%. This suggests that Alphabet may offer better potential returns for investors (CFI Team, 2022).

The current ratio (Current Assets/Current Liabilities), which measures a company's ability to pay its short-term obligations, is highest for Alphabet at 2.38, followed by Netflix at 1.17, Disney at 1.00, and AT&T at 0.59. This indicates both Netflix and Disney are positively rated regarding their liquidity, but the sub-one ratio for AT&T indicates they are at elevated risk of default and in need of additional capital. The high ratio for Alphabet might indicate that they are not allocating their capital as efficiently as they could (CFI Team, 2023a).

Despite having a smaller market cap and revenue base compared to its peers, Netflix remains competitive in terms of profitability and liquidity. Disney has a lower profitability ratio but maintains a balanced current ratio. AT&T, while having high revenue and EBIT, carries significant debt and has the weakest liquidity position among the four companies.

6 Recommendations

6.1 For The Company

Based on our analysis, we have two key recommendations for Netflix to help them adapt to their current business with an aim toward improving their subscriber base while simultaneously generating more revenues. The first of these recommendations is to pump the breaks on any future password-sharing crackdowns Netflix has planned to implement in 2023. As previously mentioned, a trial rollout was implemented in Latin America in late 2022, with inconclusive results regarding increase in subscriptions. Furthermore, this rollout was received universally poorly, and likely cost Netflix in negative press and public perception (Roughol, 2022). To continue this crackdown in other markets would be ill-advised, particularly when considering that there is no guarantee that users who had previously been password sharing would themselves become subscribers. As of our analysis, Netflix appears keen to continue their current trajectory.

Our second recommendation would be to implement some form of ad-supported subscription service to Netflix's offerings. As suggested above, most users would prefer a cheaper or even free service, subsidized in part or in whole by advertising, to the current status quo. This model has worked well for other companies, most notably YouTube, which offers premium packages at a cost for users wishing to do away with advertising. Our comparative financial analysis points to Alphabet, YouTube's owner, as being an ideal investment with regards to earnings yield, current ratio, and operating profit margin. Netflix would be able to drastically increase their user base through such a model, generating further revenue through added subscriptions (should a cheaper option be used) and through advertising (both with cheaper and free options). Netflix's current market share is large enough to generate significant revenue from advertising, as many companies would be keen to reach such a deep pool of consumers. Similarly, Netflix has demonstrated through its current algorithms that it can cater advertising to specific consumers, further enhancing its value as a vehicle for advertising.

As has been previously highlighted, Netflix derives most of their revenue from a single streaming platform, and as such are ill-diversified when compared to peers in their industry. As it stands, we would be loath to recommend greater diversification of their business into other sectors. This issue would be far too complex to approach here. Likewise, it would be difficult to determine in exactly which direction or directions the company should diversify. Notably, Netflix has already attempted to diversify their catalogue through the purchase of games accessible only through their platform, an approach which has seen lackluster results (Kraaijenbrink, 2021). Reports suggest that a total of 1% of all Netflix users have even opened a game on their platform, indicating that diversification away from Netflix's core competencies would be the wrong choice (Newman, 2021).

6.2 For the Investor

For the investor, our analysis points us toward recommending that one ought to purchase shares in Netflix, though with the caveat that this should be done in conjunction with a diverse portfolio to mitigate risk. As revealed in our financial analysis, Netflix's operating profit margin, though not stellar, indicates that the company's long-term goal toward increasing profits is sound when compared to other entities in the industry. Their current ratio is also promising, signaling that

Netflix's overall liquidity is healthy in the context of its industry. Netflix's earnings yield paints a less rosy picture but is still within a palatable range. If Netflix was to implement some of our prior recommendations, the investment outlook would likely improve, as advertising revenue would bolster cash flows.

On a negative note, valuations of Netflix's stock at present are mixed, with some measures like price-to-book indicating overvaluation compared to other companies in the industry at 7.27. However, other measures like EV/EBITDA show a current undervaluation when compared to the industry average, coming in at 7.93 (Chartmill, 2023). This confusion admittedly does not inspire immense confidence, but the general outlook is a stable one. It must be noted as well that Netflix does not issue dividends, and as such investors must take this into account when determining their willingness to invest.

7 Conclusion

Over the last half-decade, Netflix has been confronted with a slew of obstacles that pose an existential risk to their current business model. Netflix has lost subscribers, whether that be to stiffer competition, high market saturation, or pandemic-related production issues. Likewise, the pervasiveness of account sharing eats away at potential revenue. Our analysis centers on Netflix's ability to adapt to the shifting marketplace. It is through this lens that we've identified three main external influences. Economic factors, like rising inflation and a strong US dollar, eat away at revenues generated in foreign markets. Increased competition with rival providers has yielded challenges in attracting new customers and maintaining current ones, while shifts in consumer behavior are likewise causing turmoil.

Our analysis points to certain strategies to address these issues. We have evaluated each of these strategies and have made appropriate recommendations for the company based on our assessment of Netflix's position. By implementing ad-supported subscription models and pumping the breaks on their password-sharing crackdown, Netflix will be better situated to succeed moving forward.

Our financial analysis of Netflix's ex post position bolsters our forecasts. Despite recent stock volatility, Netflix's balance sheet and income statements prove promising. In comparison to their peers, Netflix's operating profit margin, average earnings yield, and current ratio indicate relatively healthy profitability and liquidity. As a result, we have also made recommendations to current or potential investors. By buying or holding in conjunction with a more diverse securities portfolio, the investor is comfortably situated to reap the rewards of changes to Netflix's business model while minimizing risk.

Appendices

Appendix 1: Netflix Company Comparison

Netflix Company Comparison (Dollar values in thousands)

Company	Netflix	Disney	AT&T	Alphabet
Streaming Service	Netflix	Disney+	HBO Max	Youtube
Revenue	$ 31,615,550	$ 82,722,000	$ 120,741,000	$ 282,836,000
EBIT	$ 5,632,831	$ 6,770,000	$ 22,911,000	$ 74,842,000
Market Cap	$ 146,248,000	$ 171,866,000	$ 132,687,000	$ 1,354,000,000
Debt	$ 27,817,367	$ 95,253,000	$ 367,767,000	$ 109,102,000
Minority Interest	$ -	$ 13,370,000	$ 8,957,000	$ -
Cash and equivalents	$ 5,147,176	$ 11,615,000	$ 3,701,000	$ 21,879,000
EV (MC+D+MI-C)	$ 168,918,191	$ 268,874,000	$ 505,710,000	$ 1,441,223,000
Current Assets	$ 9,266,473	$ 29,098,000	$ 33,108,000	$ 164,795,000
Current Liabilities	$ 7,930,974	$ 29,073,000	$ 56,173,000	$ 69,300,000
EBIT/Revenue	17.8%	8.2%	19.0%	26.5%
Earnings Yield (EBIT/EV)	3.33%	2.52%	4.53%	5.19%
Current Ratio (CA/CL)	1.17	1.00	0.59	2.38

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